

technology to their industry. On one hand, a consortium makes perfect sense, as a distributed ledger needs to be shared among many parties for it to have any use. A collaborative consortium helps financial services companies—many of which have historically been competitors that keep their business processes close to their chest—learn how to share. On the other hand, these consortiums can hit snags if too many big names and big egos become involved.

One of the most famous consortiums is R3, which launched on September 15, 2015, with big names such as JPMorgan, Barclays, BBVA, Commonwealth Bank of Australia, Credit Suisse, Goldman Sachs, Royal Bank of Scotland, State Street, and UBS. By the end of September, 13 more financial companies had joined, including Bank of America, BNY Mellon, Citi, Deutsche Bank, Morgan Stanley, and Toronto-Dominion Bank. Before 2015 was over, 20 other financial companies joined R3. R3 consists of the leading financial companies in the world, many of which are held either in individual equity or bond positions in portfolios or are in managed money investments like mutual funds and ETFs.

Another consortium, The Hyperledger Project,²² offers more open membership than R3. Remember, one of the strengths and defining aspects of an effective blockchain project is its open source ethos. The Hyperledger project was launched in December 2015 under the umbrella of the Linux Foundation to create a collaborative and open-source platform that could work with many industries, not just financial